and electricity are outputs of other industries. Wheat is output of agriculture sector (Sl. No 1 of box 2.1). Electricity is output of electricity, gas, water supply and other utility services sector (Sl. No 4 of box 1.1). They were already accounted as output of those sectors. Hence, they are deducted from output of manufacturing sector to arrive at value addition of manufacturing sector.

Let us assign value to the inputs.

Input value of wheat = ₹20

Input value of electricity = ₹10

Let us calculate gross value added by wheat flour manufacturing industry.

GVA at basic prices = Output – Intermediate consumption

Gross value added by wheat flour manufacturing industry = Output of wheat manufacturing – Inputs of wheat flour manufacturing

50 = 80 – 30

The gross value added by wheat flour manufacturing industry is ₹50.

The value addition is done by entrepreneur or enterprise engaging employees and plant and machinery. The entrepreneur or enterprise, employees and plant and machinery are called **factors of production**. The enterprise or entrepreneur, employees need to be rewarded.

In addition to these factors of production the services of government are being used for which the enterprise needs to pay land revenue, licence fee, etc. These payments to the government are to be made irrespective of the fact whether the production is done or not. These expenditures are called production taxes. At the same time the enterprises receive production subsidy from the government.